

marriage; (3) have cohabited; (4) mutually assume marital rights, duties, and obligations; and (5) hold themselves out as and have acquired a uniform and general reputation as husband and wife.

As you can see, the elements of a common-law marriage vary slightly from state to state. The common elements are (1) cohabitation and (2) “holding out.” “Holding out” is a fancy way of saying that the couple has announced to the world their roles as husband and wife—they file a joint federal income tax return, the woman may take the man’s name, and so on. If you have part one without part two—two people who are cohabiting—it does not constitute a marriage.

As you might expect, all sorts of disputes can arise in a courtroom. For example, the two spouses may have had different intentions; they may also have made conflicting statements to friends, family, and community members. There are a million murky gray areas. To protect yourself from being mired in controversy and lengthy legal battles, I strongly urge you to put together an airtight cohabitation agreement and carefully study the laws in your state.

By the way, don’t move in together because you think it’ll better prepare you for marriage and diminish your chances of divorce. That’s a myth. Study after study has shown that cohabitating couples are no more likely to stay together than those who move in after marriage. In fact, some studies say they’re more likely to divorce, since cohabitating usually indicates the couple doesn’t hold the institution of marriage in any real high esteem. So before you move in together, I suggest you do it only if you are indeed planning to get married.

One more caveat about this important financial decision. If living together eventually leads to marriage, you must stipulate that the cohabitation agreement is now a marriage agreement. Remember, once you say your vows, your cohabitation agreement is null and void. You’re now married, and a very different set of financial worries kicks in.